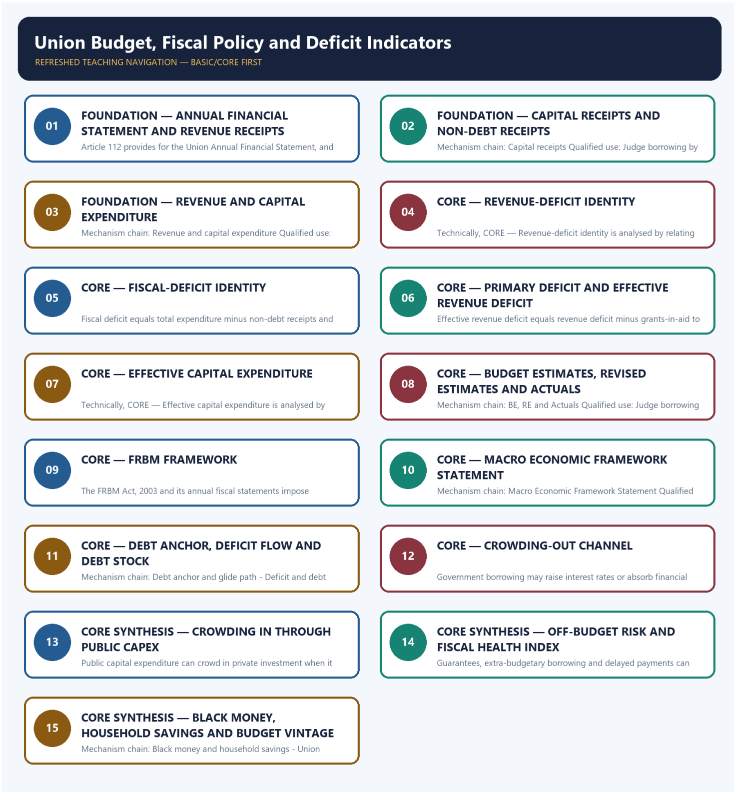
SOLVED PRACTICE WORKBOOK

Union Budget, Fiscal Policy and Deficit Indicators - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Annual Financial Statement?

A. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: A. Explanation: Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Annual Financial Statement?

A. Revenue deficit equals revenue expenditure minus revenue receipts. B. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: B. Explanation: Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Annual Financial Statement without losing its vintage, basket or legal status?

A. Revenue deficit equals revenue expenditure minus revenue receipts. B. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: C. Explanation: Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Annual Financial Statement?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. D. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote.

Answer: D. Explanation: Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Revenue receipts?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. C. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. D. Revenue deficit equals revenue expenditure minus revenue receipts.

Answer: A. Explanation: Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Revenue receipts?

A. Revenue deficit equals revenue expenditure minus revenue receipts. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: B. Explanation: Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Revenue receipts without losing its vintage, basket or legal status?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: C. Explanation: Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Revenue receipts?

A. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. B. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. C. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. D. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter.

Answer: D. Explanation: Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Capital receipts?

A. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: A. Explanation: Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. The other options belong

to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Capital receipts?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. C. Revenue deficit equals revenue expenditure minus revenue receipts. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: B. Explanation: Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Capital receipts without losing its vintage, basket or legal status?

A. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. B. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest.

Answer: C. Explanation: Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Capital receipts?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts.

Answer: D. Explanation: Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Revenue and capital expenditure?

A. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: A. Explanation: Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Revenue and capital expenditure?

A. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. B. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. C. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: B. Explanation: Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Revenue and capital expenditure without losing its vintage, basket or legal status?

A. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. B. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. C. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. D. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.

Answer: C. Explanation: Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Revenue and capital expenditure?

A. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: D. Explanation: Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Revenue deficit?

A. Revenue deficit equals revenue expenditure minus revenue receipts. B. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. C. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. D. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.

Answer: A. Explanation: Revenue deficit equals revenue expenditure minus revenue receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Revenue deficit?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. D. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Answer: B. Explanation: Revenue deficit equals revenue expenditure minus revenue receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Revenue deficit without losing its vintage, basket or legal status?

A. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. B. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. C. Revenue deficit equals revenue expenditure minus revenue receipts. D. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Answer: C. Explanation: Revenue deficit equals revenue expenditure minus revenue receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Revenue deficit?

A. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. D. Revenue deficit equals revenue expenditure minus revenue receipts.

Answer: D. Explanation: Revenue deficit equals revenue expenditure minus revenue receipts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Fiscal deficit?

A. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. B. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.

Answer: A. Explanation: Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Fiscal deficit?

A. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. B. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. C. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. D. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Answer: B. Explanation: Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Fiscal deficit without losing its vintage, basket or legal status?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. C. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. D. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable.

Answer: C. Explanation: Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Fiscal deficit?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. D. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.

Answer: D. Explanation: Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Primary deficit?

A. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.

Answer: A. Explanation: Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Primary deficit?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable.

Answer: B. Explanation: Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Primary deficit without losing its vintage, basket or legal status?

A. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. B. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. C. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. D. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers.

Answer: C. Explanation: Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Primary deficit?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest.

Answer: D. Explanation: Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Effective revenue deficit?

A. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. B. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. C. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. D. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Answer: A. Explanation: Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Effective revenue deficit?

A. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. B. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. C. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. D. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable.

Answer: B. Explanation: Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Effective revenue deficit without losing its vintage, basket or legal status?

A. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. B. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. C. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: C. Explanation: Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Effective revenue deficit?

A. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. B. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. C. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. D. Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.

Answer: D. Explanation: Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Effective capital expenditure?

A. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. D. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met.

Answer: A. Explanation: Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Effective capital expenditure?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers.

Answer: B. Explanation: Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Effective capital expenditure without losing its vintage, basket or legal status?

A. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. B. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. C. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: C. Explanation: Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Effective capital expenditure?

A. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. B. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Answer: D. Explanation: Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies BE, RE and Actuals?

A. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. B. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. C. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: A. Explanation: Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of BE, RE and Actuals?

A. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. B. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. C. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: B. Explanation: Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses BE, RE and Actuals without losing its vintage, basket or legal status?

A. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. B. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. C. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. D. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.

Answer: C. Explanation: Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about BE, RE and Actuals?

A. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. B. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. C. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. D. Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable.

Answer: D. Explanation: Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies FRBM framework?

A. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. B. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability.

Answer: A. Explanation: The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of FRBM framework?

A. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. B. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability.

Answer: B. Explanation: The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses FRBM framework without losing its vintage, basket or legal status?

A. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. B. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. C. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. D. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.

Answer: C. Explanation: The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about FRBM framework?

A. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. B. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met.

Answer: D. Explanation: The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Macro Economic Framework Statement?

A. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. B. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. C. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: A. Explanation: The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Macro Economic Framework Statement?

A. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. B. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. C. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. D. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.

Answer: B. Explanation: The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Macro Economic Framework Statement without losing its vintage, basket or legal status?

A. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. B. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. C. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. D. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.

Answer: C. Explanation: The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Macro Economic Framework Statement?

A. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. B. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers.

Answer: D. Explanation: The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Debt anchor and glide path?

A. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. B. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. C. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. D. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability.

Answer: A. Explanation: The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Debt anchor and glide path?

A. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. B. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.

Answer: B. Explanation: The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Debt anchor and glide path without losing its vintage, basket or legal status?

A. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. B. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. C. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. D. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.

Answer: C. Explanation: The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Debt anchor and glide path?

A. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. B. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. C. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. D. The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.

Answer: D. Explanation: The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Deficit and debt coverage?

A. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. B. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. C. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. D. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.

Answer: A. Explanation: A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Deficit and debt coverage?

A. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. B. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.

Answer: B. Explanation: A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Deficit and debt coverage without losing its vintage, basket or legal status?

A. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. B. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. C. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. D. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget.

Answer: C. Explanation: A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Deficit and debt coverage?

A. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. B. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. C. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. D. A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability.

Answer: D. Explanation: A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Crowding-out channel?

A. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. B. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. C. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. D. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget.

Answer: A. Explanation: Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Crowding-out channel?

A. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. B. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone.

Answer: B. Explanation: Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Crowding-out channel without losing its vintage, basket or legal status?

A. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. B. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. C. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. D. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone.

Answer: C. Explanation: Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Crowding-out channel?

A. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.

Answer: D. Explanation: Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Crowding-in through capex?

A. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. B. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone.

Answer: A. Explanation: Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Crowding-in through capex?

A. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. B. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. C. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. D. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure.

Answer: B. Explanation: Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Crowding-in through capex without losing its vintage, basket or legal status?

A. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. B. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. C. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. D. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals.

Answer: C. Explanation: Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Crowding-in through capex?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.

Answer: D. Explanation: Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Off-budget and contingent risk?

A. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. D. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure.

Answer: A. Explanation: Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Off-budget and contingent risk?

A. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. B. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. C. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. D. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals.

Answer: B. Explanation: Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Off-budget and contingent risk without losing its vintage, basket or legal status?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. D. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote.

Answer: C. Explanation: Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Off-budget and contingent risk?

A. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget.

Answer: D. Explanation: Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Fiscal Health Index?

A. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure.

Answer: A. Explanation: NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Fiscal Health Index?

A. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. B. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter.

Answer: B. Explanation: NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Fiscal Health Index without losing its vintage, basket or legal status?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. C. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. D. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts.

Answer: C. Explanation: NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Fiscal Health Index?

A. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. D. NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone.

Answer: D. Explanation: NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Black money and household savings?

A. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals.

Answer: A. Explanation: Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Black money and household savings?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote.

Answer: B. Explanation: Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Black money and household savings without losing its vintage, basket or legal status?

A. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: C. Explanation: Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Black money and household savings?

A. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure.

Answer: D. Explanation: Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Union Budget 2026-27 vintage?

A. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. B. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. C. Article 112 provides for the Union Annual Financial Statement, and the budget procedure keeps charged expenditure distinct from expenditure submitted to vote. D. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts.

Answer: A. Explanation: The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Union Budget 2026-27 vintage?

A. Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. B. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. C. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. D. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.

Answer: B. Explanation: The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Union Budget 2026-27 vintage without losing its vintage, basket or legal status?

A. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. B. Revenue deficit equals revenue expenditure minus revenue receipts. C. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. D. Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts.

Answer: C. Explanation: The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Union Budget 2026-27 vintage?

A. Revenue deficit equals revenue expenditure minus revenue receipts. B. Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. C. Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. D. The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals.

Answer: D. Explanation: The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited ledgers route Mains demands on public expenditure management, Capital versus Revenue Budget and the Fiscal Health Index, plus objective demands on Article 112, capital receipts, deficit computation, recession policy, opportunity cost, household savings and crowding out. Objective answer letters are not inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2025 GS-III Fiscal Health Index question highlights expenditure quality, revenue mobilisation, prudence and debt sustainability.
- ANALYSIS: 2024 GS-III social-services question requires linking expenditure trends to inclusive outcomes.
- FACT: **2024 Prelims Q85:** tested Articles 112/113 - the Annual Financial Statement is laid on behalf of the President, and a demand for grant requires the President's recommendation.
- FACT: **2025 Prelims Q10/Q61/Q65:** directly tested capital-receipt classification, deficit calculation and `primary deficit = fiscal deficit - interest payments`.
- ANALYSIS: Historical PYQs repeatedly demand FRBM/MEFS awareness, recession policy, black-money linkage, capital-versus-revenue classification and household financial savings in the savings-investment identity.
- Exact stems/options: `../README.md` routing table and the cited local PYQ files.

2026 PYQ Integration

> **Status:** 2026 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2026.md`. **Answer-key rule:** The 2026 Prelims and CSAT Set-A keys held locally are **provisional**; no option or answer is recorded or inferred in this integration.

- **Year represented:** 2026
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2026	Prelims GS-I	94	Fiscal-policy crowding-out effect through government borrowing and interest rates	Objective question; provisional 2026 Set-A key present locally, answer not inferred	Provisional 2026 Set-A key present locally (`Ans-2026-GS1-Provisional`); key is provisional - no answer letter recorded or inferred here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Fiscal-policy crowding-out effect through government borrowing and interest rates

> This block integrates the 2026 examinable demand and paper metadata. It is kept separate from the 2018-2023 and 2024-2025 blocks and does not convert a provisionally-keyed, answer-free objective question into a solved answer.

Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2024-2025.md`, `_PYQ-ROUTING-PRELIMS-2024-2025.md`. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024, 2025
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 5

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	85	Union Budget - Annual Financial Statement	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	GS-III	11	Fiscal Health Index as a tool for state fiscal performance	Explain · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2025	Prelims GS-I	10	Capital receipts; borrowings, disinvestment and interest	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	Prelims GS-I	61	Revenue, fiscal and primary deficit computation	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	Prelims GS-I	65	Gross primary deficit computation	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Union Budget - Annual Financial Statement
- Fiscal Health Index as a tool for state fiscal performance
- Capital receipts; borrowings, disinvestment and interest
- Revenue, fiscal and primary deficit computation
- Gross primary deficit computation

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`, `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 10

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	2	Long-term Capital Gains Tax and Dividend Distribution Tax changes	Comment · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2018	Prelims GS-I	9	FRBM Review Committee debt-GDP ratio recommendations	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2018	Prelims GS-I	47	Opportunity cost when government provides commodity free	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	GS-III	12	Public expenditure management challenge in post-liberalization budget making	Clarify · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2020	Prelims GS-I	6	Macro Economic Framework Statement legal mandate FRBM	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	GS-III	2	Capital Budget and Revenue Budget distinction and significance	Distinguish · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	Prelims GS-I	3	Government policy measures during economic recession	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	9	Black money creation impact on Indian economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	9	Capital expenditure versus revenue expenditure classification	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	Prelims GS-I	10	Household financial savings and government internal debt	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Long-term Capital Gains Tax and Dividend Distribution Tax changes
- FRBM Review Committee debt-GDP ratio recommendations
- Opportunity cost when government provides commodity free
- Public expenditure management challenge in post-liberalization budget making
- Macro Economic Framework Statement legal mandate FRBM
- Capital Budget and Revenue Budget distinction and significance
- Government policy measures during economic recession
- Black money creation impact on Indian economy
- Capital expenditure versus revenue expenditure classification
- Household financial savings and government internal debt

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2025 GS-III Fiscal Health Index question highlights expenditure quality, revenue mobilisation, prudence and debt sustainability.
- ANALYSIS: 2024 GS-III social-services question requires linking expenditure trends to inclusive outcomes.
- FACT: **2024 Prelims Q85:** Articles 112/113 and the President's role in the Annual Financial Statement/demands for grants.
- FACT: **2025 Prelims Q10/Q61/Q65:** capital receipts, deficit identities and gross primary deficit. Exact routing: `../README.md`.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2018, 2019, 2021
- **Paper(s):** GS-III
- **Routed question demands:** 3

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	2	Long-term Capital Gains Tax and Dividend Distribution Tax changes	Comment · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2019	GS-III	12	Public expenditure management challenge in post-liberalization budget making	Clarify · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	2	Capital Budget and Revenue Budget distinction and significance	Distinguish · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Long-term Capital Gains Tax and Dividend Distribution Tax changes
- Public expenditure management challenge in post-liberalization budget making
- Capital Budget and Revenue Budget distinction and significance

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2019 GS-III

Demand: Clarify why public expenditure management remains a challenge in post-liberalisation budget making.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Revenue and capital expenditure: Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. **BE, RE and Actuals:** Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. **Off-budget and contingent risk:** Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. **Fiscal Health Index:** NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

PYQ DEMAND CARD 2 - 2021 GS-III

Demand: Distinguish the Capital Budget and Revenue Budget and explain their components.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Revenue receipts: Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. **Capital receipts:** Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. **Revenue and capital expenditure:** Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. **Effective capital expenditure:** Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

PYQ DEMAND CARD 3 - 2025 GS-III

Demand: Explain the Fiscal Health Index as a tool for assessing state fiscal performance.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Deficit and debt coverage: A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. **Fiscal Health Index:** NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. **Black money and household savings:** Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish revenue receipts, capital receipts and borrowings. Answer in about 150 words.

Model thesis: Claim: Revenue receipts. **Named evidence/example:** Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital receipts. **Named evidence/example:** Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter.
- Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts.

Qualified conclusion: Claim: Revenue receipts. **Named evidence/example:** Revenue receipts neither create a liability nor reduce a financial asset and include tax and non-tax revenue within the stated budget perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital receipts. **Named evidence/example:** Capital receipts create liabilities or reduce financial assets; borrowings create liabilities, while recovery of loans and disinvestment are non-debt capital receipts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 2 - 10 MARKS

Question: Calculate and interpret revenue, fiscal and primary deficits. Answer in about 150 words.

Model thesis: Claim: Revenue deficit. **Named evidence/example:** Revenue deficit equals revenue expenditure minus revenue receipts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fiscal deficit. **Named evidence/example:** Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Primary deficit. **Named evidence/example:** Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Revenue deficit equals revenue expenditure minus revenue receipts.
- Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt.
- Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest.

Qualified conclusion: Claim: Revenue deficit. **Named evidence/example:** Revenue deficit equals revenue expenditure minus revenue receipts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fiscal deficit. **Named evidence/example:** Fiscal deficit equals total expenditure minus non-debt receipts and broadly indicates the period's borrowing requirement rather than the stock of public debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Primary deficit. **Named evidence/example:** Primary deficit equals fiscal deficit minus interest payments and isolates the current fiscal gap after removing the burden of past-debt interest. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain effective revenue deficit and effective capital expenditure. Answer in about 250 words.

Model thesis: Claim: Effective revenue deficit. **Named evidence/example:** Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Effective capital expenditure. **Named evidence/example:** Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used.
- Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure.

Qualified conclusion: Claim: Effective revenue deficit. **Named evidence/example:** Effective revenue deficit equals revenue deficit minus grants-in-aid to states or Union Territories for creation of capital assets; it reclassifies the transfer but does not prove the asset was well used. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Effective capital expenditure. **Named evidence/example:** Effective capital expenditure adds grants for capital-asset creation to the Centre's own capital expenditure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 4 - 15 MARKS

Question: Why must Budget Estimates, Revised Estimates and Actuals be separated? Answer in about 250 words.

Model thesis: Claim: BE, RE and Actuals. **Named evidence/example:** Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Macro Economic Framework Statement. **Named evidence/example:** The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Union Budget 2026-27 vintage. **Named evidence/example:** The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable.
- The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers.
- The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals.

Qualified conclusion: Claim: BE, RE and Actuals. **Named evidence/example:** Budget Estimates are policy authorisations or projections, Revised Estimates update the year's expected outcome, and Actuals record realised accounts; the three vintages are not interchangeable. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Macro Economic Framework Statement. **Named**

evidence/example: The Macro Economic Framework Statement supplies the growth, inflation and macro assumptions needed to interpret Budget numbers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Union Budget 2026-27 vintage. **Named evidence/example:** The owner records Union Budget 2026-27 Budget Estimates of a 4.3 per cent fiscal deficit-to-GDP ratio and 12.22 lakh crore rupees of capital expenditure, alongside a 4.4 per cent fiscal-deficit ratio for 2025-26 Revised Estimates; these are dated BE or RE figures, not Actuals. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate rule-based fiscal consolidation with countercyclical flexibility. Answer in about 300 words.

Model thesis: Claim: FRBM framework. **Named evidence/example:** The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Debt anchor and glide path. **Named evidence/example:** The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-out channel. **Named evidence/example:** Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-in through capex. **Named evidence/example:** Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Off-budget and contingent risk. **Named evidence/example:** Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met.
- The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing.
- Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions.
- Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.
- Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget.

Qualified conclusion: Claim: FRBM framework. **Named evidence/example:** The FRBM Act, 2003 and its annual fiscal statements impose medium-term targets, macro disclosure and deviation reporting rather than a guarantee that every announced path will be met. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Debt anchor and glide path. **Named evidence/example:** The N.K. Singh-led FRBM Review Committee advanced a debt-anchor and operational glide-path logic; its recommendations are advisory and not self-executing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-out channel. **Named evidence/example:** Government borrowing may raise interest rates or absorb financial savings and crowd out private credit, but the effect depends on slack, liquidity, household savings and monetary conditions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-in through capex. **Named evidence/example:** Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Off-budget and contingent risk. **Named evidence/example:** Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 6 - 20 MARKS

Question: Judge India's fiscal stance through composition, transparency and debt sustainability. Answer in about 300 words.

Model thesis: Claim: Revenue and capital expenditure. **Named evidence/example:** Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Deficit and debt coverage. **Named evidence/example:** A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-in through capex. **Named evidence/example:** Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Off-budget and contingent risk. **Named evidence/example:** Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fiscal Health Index. **Named evidence/example:** NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Black money and household savings. **Named evidence/example:** Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label.
- A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability.
- Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution.
- Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget.
- NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone.
- Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure.

Qualified conclusion: Claim: Revenue and capital expenditure. **Named evidence/example:** Revenue expenditure generally supports current services and transfers, whereas capital expenditure creates assets or reduces liabilities; classification is accounting-based rather than a moral label. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Deficit and debt coverage. **Named evidence/example:** A fiscal deficit is a flow for a specified government and period, while debt is a stock; the Union Budget does not by itself capture states, local bodies and every public-sector liability. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Crowding-in through capex. **Named evidence/example:** Public capital expenditure can crowd in private investment when it removes infrastructure bottlenecks and raises expected demand, subject to project selection and execution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Off-budget and contingent risk. **Named evidence/example:** Guarantees, extra-budgetary borrowing and delayed payments can understate genuine public-sector risk in the headline fiscal deficit; several historical items have since been moved on-budget. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Fiscal Health Index. **Named evidence/example:** NITI Aayog's Fiscal Health Index compares state fiscal performance across dimensions including revenue mobilisation, expenditure quality, prudence and debt sustainability rather than one ratio alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Black money and household savings. **Named evidence/example:** Undisclosed income narrows the declared tax base, while household financial savings influence how much public borrowing can be absorbed domestically without intensifying financing pressure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.